

The complaint

Mr R has complained that Lloyds Bank General Insurance Limited (Lloyds) has declined his claim unfairly.

What happened

Mr R has contents insurance with Lloyds. After moving home, he noticed some items of his contents were missing and made a claim for them. He said he thought the items could have been taken by the removal company or family members. Lloyds declined the claim because the policy didn't cover theft by people invited into the home.

Mr R didn't think this was fair. He thought he was covered for theft regardless of how it happened. He had previously made a contents claim which Lloyds had declined. After that he had added more cover to his policy to ensure he would be covered should anything else happen to his contents.

Our investigator considered the complaint. He didn't think Lloyds was required to cover all theft claims. He thought it was reasonable for Lloyds to include terms and conditions in the policy in order to choose which types of theft they provided cover for. He was satisfied Lloyds had declined the claim fairly. And he thought they had done enough to let Mr R know about the terms of the policy, including what wasn't covered.

Mr R didn't agree. He said that because a theft had occurred, he should be covered.

Because Mr R didn't agree, it's been passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I think Lloyds has acted fairly, so I won't be asking them to do anything further. I'll explain why.

Mr R took out contents insurance with Lloyds in May 2019. He paid extra to include accidental damage cover.

Mr R's complaint is about his theft claim being declined. But he's also mentioned how the policy was sold and his earlier contents claim. So, I'll explain my thoughts on those points as well as the theft claim.

First claim

In June 2019 Mr R's mobile phone was accidentally damaged whilst he was out of his house. He made a claim to Lloyds and they declined it. They said his policy only covered his phone if it was damaged in his home. Because he didn't have 'personal belongings' cover added to his policy, his phone wasn't covered away from the home.

I've checked the policy and it's clear that the accidental damage cover only applies to items of contents in the home. So, I'm satisfied Lloyds acted reasonably in declining this claim.

Policy sale

Mr R has said he thought when he took the policy out that he would be covered for damage away from his home. The policy was sold in a bank branch and there are no records of the conversation. Because of that I can't be sure what was said during the sale.

Lloyds have shown us a script that's used during home insurance sales. It includes information about what accidental damage cover is and, separately, what personal belongings cover is. I think the script makes clear what cover is provided by each section.

The adviser who sold the policy was asked about the sale. They recalled a discussion about personal belongings cover with Mr R in which he decided not to take it because it wouldn't cover his mobility scooter. The adviser's recollection of the sale was given around a week after the sale took place. Given how recent that was, I'm persuaded that the adviser's recollection is most likely what took place.

Because of the script and the adviser's recollection, I think the policy was sold fairly. The policy documents sent to Mr R after the sale are clear about what's included and what isn't.

Sale of extra cover

After the mobile phone claim was declined, Mr R called Lloyds to add personal belongings cover to his policy.

During the call he told Lloyds he thought he was now covered for 'everything'. Lloyds told him the policy documents would set out what was covered, what wasn't covered, together with the excesses and policy limits that would apply to any claims he made. I think this was a reasonable response to let Mr R know that he wouldn't be covered for everything.

Second claim

In August 2019 Mr R reported the claim for theft to Lloyds. He wasn't certain how his items had gone missing. He thought it was possible they had been taken by the removal company. But he thought it was more likely the items had been stolen by members of his family who had been helping him unpack.

The policy covers theft of contents – but only under certain circumstances. The theft section makes clear that theft by anybody invited into the home isn't covered. There's no doubt that Mr R invited his family members into his home. Because of that I think Lloyds acted fairly when it declined Mr R's claim.

Mr R feels strongly that, as a victim of theft, his claim should be covered. He also thinks that the steps he took to add additional sections to his contents policy meant he would be covered for any contents claim.

No insurance policy will cover everything that might go wrong. Insurers are entitled to decide which circumstances they're prepared to provide cover for. They must make those circumstances clear to their policyholders in the policy documents. I'm satisfied Lloyds have done that here.

Mr R said he moved into his home in April 2019. Lloyds have said this means that even if his items were taken by the removal company, it would have happened before the policy began in May 2019. As a result, they wouldn't be responsible for the claim, but Mr R could approach his previous insurer. I agree.

My final decision

My final decision is that I don't uphold Mr R's complaint. So, I don't require Lloyds Bank General Insurance Limited to do anything.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr R to accept or reject my decision before 6 March 2020.

Kevin Parmenter
Ombudsman